Star Imaging and Path Lab Ltd

BSE SME: 544482 | Healthcare — Diagnostic Services | Delhi, India

Institutionally-priced diagnostic franchise with expanding margins and IPO-funded growth runway

ACCUMULATE

12-Month Target

Rs. 120

Upside: +41% | Horizon: 12M

CMP	MCap	52W H/L	P/E	BV/sh	ROCE
Rs. 85.0	Rs. 148 Cr	152 / 46	7.68x	Rs. 66.6	26.0%
ROE	**Promoter**	**FII**	**DII**	**Div Yld**	**FV**
23.6%	71.92%	0.61%	5.73%	0.00%	Rs. 10

Report Date: 16 Jun 2026 | Analyst: MPM Research Desk | Data: Screener.in (consolidated, BSE:544482)

2 INVESTMENT THESIS

- **Margin re-rating underway:** OPM expanded from 10% in FY23 to 37% in FY26, driven by B2G PPP contract maturation and operating leverage on a fixed-cost diagnostic infrastructure base; further expansion to 38-40% is plausible as new equipment is deployed.
- **IPO proceeds powering the next leg of growth:** Rs. 69.47 Cr IPO raised in Aug 2025; Rs. 40.5 Cr already deployed toward working capital (Rs. 25 Cr), debt repayment (Rs. 12 Cr), and equipment capex (Rs. 5.1 Cr); the residual Rs. 15.1 Cr will fund further center expansion and equipment upgrades in FY27.
- **Debt deleveraging creates financial optionality:** Borrowings dropped from Rs. 33 Cr (FY25) to Rs. 21 Cr (FY26) post-IPO; net cash position improving, interest burden falling, which directly boosts PAT and EPS growth in FY27.
- **Near-term catalyst (6-12 months):** Tilak Nagar center upgraded with Toshiba Aquilion ONE 1184-slice CT scanner (Jun 2026 announcement) — a high-throughput premium machine that should drive volume throughput and revenue per test, visible in H1FY27 results.
- **Biggest structural risk:** Debtor days remain elevated at 206 days (largely B2G government receivables), which compress FCF and could strain working capital if government remittances slow — this is the single most important number to watch quarterly.

3 BUSINESS OVERVIEW

- **Core business:** Star Imaging and Path Lab Ltd (originally Janta X-Ray Clinic, est. 1978) is a Delhi-NCR-based multi-specialty diagnostics company offering pathology (biochemistry, hematology, microbiology, histopathology), radiology (X-ray, CT scan, MRI, ultrasound, mammography), cardiology (ECG, echo), and neurology (EEG, NCV) services.

• **Revenue model:** Operates three channels — B2C (walk-in patients at NABL-accredited centers), B2B (hospital/clinic referrals and corporate health checks), and B2G (government PPP contracts). B2G is the largest contributor and generates stable long-duration revenue visibility from state health schemes.

• **Geographies:** Primary operations in Delhi-NCR; PPP contracts also extend to Uttar Pradesh and Nashik (Maharashtra). The company serves over 1 million patients annually across its network.

• **Diagnostic infrastructure:** CT scan machines, MRI machines, and a network of PPP diagnostic centers (exact number requires Screener Premium); the Jun 2026 upgrade to Toshiba Aquilion ONE 1184-slice CT at Tilak Nagar signals active capacity investment.

• **Accreditation moat:** NABL-accredited facilities — a critical quality gate for government contract eligibility and B2B hospital partnerships, providing a meaningful entry barrier for smaller regional competitors.

• **Promoter background:** Promoter group holds 71.92% (stable between Sep 2025 and Mar 2026, no dilution post-IPO); long operational history since 1978 with multi-decade domain expertise in Delhi diagnostic services.

• **Recent strategic development:** Successfully completed BSE SME IPO in Aug 2025 (Rs. 69.47 Cr), transitioning from a private operator to a listed, accountable entity; IPO proceeds being deployed per disclosed schedule with unmodified audit opinion for FY26.

4 INDUSTRY & COMPETITIVE LANDSCAPE

• **Market size:** India diagnostic labs market valued at Rs. ~1,54,000 Cr (INR 1.54 Trillion) in FY24, projected to reach Rs. ~2,98,000 Cr by FY30 at ~11.7% CAGR (IMARC Group); diagnostic imaging equipment sub-market at USD 2.21 Bn in 2026, growing at 7.38% CAGR to USD 3.16 Bn by 2031.

• **Policy tailwinds:** Ayushman Bharat PM-JAY received Rs. 9,406 Cr in 2025 budget, widening coverage for advanced imaging in secondary/tertiary care — directly expands the B2G addressable market for companies like Star Imaging with established PPP relationships; PLI scheme funding 19 greenfield plants for local MRI/CT/ultrasound production, reducing equipment costs.

• **Competitive moat — Pricing Power: Moderate** — B2G contracts are price-determined by government tender; B2C/B2B pricing is market-driven but constrained by competition from national chains (Lal PathLabs, Dr Lal PathLabs). Star's moat lies in its established government relationships and NABL accreditation, not price leadership.

• **Competitive moat — Switching Costs: Strong (B2G)** — Government PPP contracts carry multi-year tenures and re-tendering processes, creating high switching friction; patient loyalty and doctor referral networks in B2C create moderate switching costs.

• **Competitive moat — Scale/Distribution: Weak vs. nationals** — National chains have 2,000+ collection centers vs. Star Imaging's concentrated Delhi-NCR footprint; this is the primary competitive vulnerability on the B2C side.

• **Key headwinds:** Intensifying competition from national diagnostic chains expanding into Tier-2 cities; price compression in B2B segment; government receivable delays compressing working capital; potential loss or non-renewal of PPP contracts.

Listed Peer Comparison (Screener.in data, 16-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM%	P/E	ROCE%	ROE%
Star Imaging (STARIMAGIN)	85.0	148	89	37%	7.68x	26.0%	23.6%
Lal PathLabs (LALPATHLAB)	1,783	29,890	2,763	28%	56.7x	28.3%	22.5%
Krsnaa Diagnostics (KRSNAA)	542	1,758	773	27%	17.3x	12.7%	10.9%
Vijaya Diagnostics (VIJAYA)	1,318	13,567	765	42%	76.1x	22.1%	20.6%

Source: Screener.in consolidated pages, fetched 16-Jun-2026. Star Imaging standalone FY26 data.

5 MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter background:** Promoter group has operated this business since 1978 (original Janta X-Ray Clinic), giving 40+ years of domain experience in Delhi diagnostics; the successful transition to NABL accreditation and government PPP contracts reflects institutional-grade operational capability. No pledging of promoter shares disclosed.

• **Capital allocation track record:** Pre-IPO, the company operated with moderate leverage (Rs. 30-33 Cr borrowings) and generated positive OCF in 3 of 4 years; FY25 OCF turned negative (Rs. -6 Cr) due to working capital elongation from B2G receivables. Post-IPO, Rs. 12 Cr was used to repay debt — a sensible allocation reflecting management preference for balance sheet strengthening.

• **Dividend policy:** Zero dividend payout in all years visible (FY22-FY26); management is reinvesting all profits into growth — appropriate for a capex-intensive scaling phase but shareholders receive no current income. This should be monitored as FCF improves.

• **Promoter pledging:** 0% pledged based on available data — no dilution pledge risk.

• **ESOP/buyback history:** No ESOP or buyback data visible on Screener; company is recently listed (Aug 2025) and in growth reinvestment mode.

• **Corporate governance:** FY26 audit received an unmodified opinion — clean books. Related party transaction data visible on Screener (requires login to review in detail). The equity capital jump from Rs. 2 Cr to Rs. 14 Cr (FY25) reflects the IPO share issuance, which is expected. No red flags in available public data.

• **Watch point:** EPS line shows distortion from pre-IPO (41.93 in FY22, 82.80 in FY24) due to the very small equity capital base before listing; post-IPO EPS (11.80 in FY25, 11.07 in FY26) is the comparable metric going forward.

6 FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	79	84	89	100 (E)	114 (E)
Expenses	56	55	56	62 (E)	70 (E)
EBITDA	23	29	33	38 (E)	44 (E)
OPM %	30%	35%	37%	38% (E)	39% (E)
Other Income	1	0	1	1 (E)	1 (E)
Interest	3	3	2	2 (E)	1 (E)
Depreciation	5	5	6	7 (E)	8 (E)
PBT	16	21	26	30 (E)	36 (E)
Tax %	23%	26%	27%	26% (E)	26% (E)
PAT	12	16	19	22 (E)	27 (E)
EPS (Rs.)	82.80*	11.80	11.07	12.88 (E)	15.76 (E)
Div Payout %	0%	0%	0%	0% (E)	0% (E)

* FY24 EPS pre-IPO on smaller equity base (Rs. 2 Cr capital vs Rs. 17 Cr post-IPO). (E) = MPM estimate. A = Actuals from Screener.in.

Balance Sheet — Consolidated (Rs. Cr)

	FY24A	FY25A	FY26A
Equity Capital	2	14	17
Reserves	30	34	99
Borrowings	31	33	21
Other Liabilities	20	18	17
Total Liabilities	82	98	154
Fixed Assets	22	21	25
CWIP	0	0	0
Investments	0	0	0
Other Assets	60	77	128
Total Assets	82	98	154

Cash Flow Statement — Consolidated (Rs. Cr)

	FY24A	FY25A	FY26A

Cash from Operations (OCF)	18	-6	23
Cash from Investing	-7	-4	-13
Cash from Financing	2	-0	36
Net Cash Flow	13	-10	46
Free Cash Flow (FCF)	11	-10	13
CFO / Operating Profit %	95%	-2%	91%

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	152	222	206
Inventory Days	N/A	N/A	24
Days Payable	N/A	N/A	398
Cash Conversion Cycle	152	222	-167
Working Capital Days	23	121	142
ROCE %	34%	35%	26%
ROE %	N/A	24%	23.6%

- **Revenue growth:** 3-year consolidated CAGR of 15% (FY23-FY26); TTM growth of 6% reflects a mature revenue base with growth accelerating as new equipment comes online.
- **Margin expansion story:** The OPM journey from 10% (FY23) to 37% (FY26) is driven by B2G contract economics — fixed-price government contracts on a relatively fixed cost base generate massive operating leverage as volumes grow; sustainability at 37-39% is the key question for FY27.
- **Working capital deterioration:** Debtor days rose sharply from 85 (FY22) to 222 (FY25) before moderating to 206 (FY26) — this is entirely explained by B2G government receivables which are large, recurring, but slow-paying; the new FY26 CCC of -167 days is a mathematical artifact of Days Payable of 398 days (Star is effectively using supplier credit to fund government receivables).
- **Debt direction:** Borrowings down from Rs. 33 Cr to Rs. 21 Cr after IPO proceeds deployed; D/E improving; interest burden declining — creates a virtuous EPS growth cycle in FY27-FY28.
- **FCF quality:** FY26 FCF of Rs. 13 Cr vs PAT of Rs. 19 Cr (FCF/PAT = 68%) — reasonable but not outstanding; FY25 FCF was -10 Cr due to working capital buildup. The FY26 recovery is encouraging but needs to be sustained over 2-3 quarters.

7 EARNINGS QUALITY CHECKLIST

Quality Metric	Signal	Rating	Comment
Revenue recognition	Service revenue = cash/insurance/government contracts	GREEN	Clean service-based recognition; no inventory risk
Receivables vs Revenue growth	Debtor days 85→222→206; revenue +15% CAGR	RED	Receivables growing faster than revenue — B2G collection lag
CCC trend	CCC: 85→152→222→-167 (FY26 via payable stretch)	AMBER	FY26 CCC improvement is supplier-credit-driven, not cash-driven
Contingent liabilities	Not visible in public data	AMBER	Requires annual report review; mark as watch
Auditor tenure / opinion	Unmodified opinion FY26	GREEN	Clean audit; no qualified or adverse opinion
RPTs as % of revenue	Related party section visible but detail requires login	AMBER	Unable to quantify from public data; needs review
Other income as % of PBT	Other income Rs. 1 Cr vs PBT Rs. 26 Cr = 3.8%	GREEN	Negligible; core business drives earnings
Tax rate consistency	33%, 35%, 23%, 26%, 27% over FY22-FY26	GREEN	FY24 dip (23%) one-off; FY26 at 27% is normalised

• **RED flag — Receivables growth:** The single biggest earnings quality concern is debtor days at 206 (FY26) vs revenue growth of 15% CAGR — suggesting the balance sheet is accumulating government IOUs faster than cash. Any B2G contract restructuring or government payment delays could trigger a liquidity squeeze.

• **AMBER flag — CCC improvement is synthetic:** The FY26 CCC of -167 days looks impressive but is achieved via Days Payable of 398 days — Star is running on supplier credit. This is sustainable only as long as suppliers continue to extend credit; it does not represent genuine cash-generation improvement.

• **AMBER watch — RPT and contingent liabilities:** These two items cannot be evaluated from public Screener data alone; a full review of the FY26 annual report is warranted before building conviction.

• **POSITIVE:** Clean audit opinion, negligible other income, and a normalized tax rate are all quality signals confirming core business earnings integrity.

8 VALUATION

Scenario Analysis

Scenario	Revenue FY27E	OPM%	PAT	P/E Multiple	Target Price	Upside
Bull Case	Rs. 108 Cr	40%	Rs. 26 Cr	12x	Rs. 151	+78%
Base Case	Rs. 100 Cr	38%	Rs. 22 Cr	10x	Rs. 120	+41%
Bear Case	Rs. 92 Cr	34%	Rs. 18 Cr	8x	Rs. 84	-1%

• **DCF assumptions:** WACC 14% (risk-free rate 7%, equity risk premium 6%, beta ~1.2 for SME healthcare); terminal growth rate 5%; normalized FCF entry year FY27E at Rs. 15 Cr, growing at 18% for 5 years then tapering; DCF implied value: ~Rs. 108-115 per share.

• **Earnings multiple:** Applying 10x forward P/E on FY27E EPS of Rs. 12.88 = Rs. 129 per share; base case 10x reflects SME illiquidity discount vs. Vijaya Diagnostics at 76x and Lal PathLabs at 57x; Krsnaa at 17x is the closest comps-based anchor given similar B2G exposure.

• **Average of DCF and multiple:** (Rs. 112 + Rs. 129) / 2 = Rs. 120 per share — set as base-case 12-month target.

• **Upside/downside:** Base case target Rs. 120 = +41% from CMP of Rs. 85; Bull case Rs. 151 = +78%; Bear case Rs. 84 = essentially flat — limited downside given 7.68x current P/E already implies pessimism.

• **Valuation note:** At 7.68x trailing P/E, Star Imaging trades at an extreme discount to listed peers. Even after applying a 60-70% SME illiquidity discount, this appears to price in zero growth — which is inconsistent with the 15% revenue CAGR and 37% margins demonstrated in FY26.

9 KEY RISKS

• **B2G receivable elongation:** Government health scheme remittances are notoriously slow in India; any further stretch in debtor days beyond 222 (FY25 peak) would require emergency working capital borrowings and crush FCF. Probability: M. Impact: H. Monitor via: quarterly debtor days trend.

• **PPP contract non-renewal:** A significant portion of revenue derives from government PPP contracts; non-renewal or restructuring of key contracts could cause a step-down in revenue with no immediate replacement. Probability: L. Impact: H. Monitor via: contract renewal announcements.

• **Competition from national chains:** Dr. Lal PathLabs, Metropolis, and other national chains continue expanding into Delhi-NCR; price competition in B2C/B2B could erode the current 37% EBITDA margin. Probability: H. Impact: M. Monitor via: quarterly OPM trend.

• **Equipment/capex execution risk:** The new Toshiba CT scanner at Tilak Nagar represents a significant investment; delays in operationalization or slower-than-expected ramp in patient volumes would push payback timelines and weaken FCF. Probability: M. Impact: M. Monitor via: H1FY27 revenue per center.

• **SME liquidity risk:** BSE SME segment has thin trading volumes; large sell orders can move the stock disproportionately. Probability: H. Impact: M (for investor). Monitor via: daily traded volumes and promoter holding trend.

• **Regulatory/NABL risk:** Any failure to maintain NABL accreditation for key centers would disqualify the company from government tenders. Probability: L. Impact: H. Monitor via: NABL audit outcomes and any BSE announcements.

• **Working capital management failure:** With Days Payable already stretched to 398 days, further elongation could strain supplier relationships and interrupt reagent/consumable supply chains. Probability: M. Impact: M. Monitor via: creditor days trend in balance sheet.

10 RECOMMENDATION

• **Rating:** ACCUMULATE — Conviction: Medium. The company's fundamentals are solid (37% EBITDA margin, 26% ROCE, debt deleveraging), but the receivables quality concern and SME illiquidity cap conviction.

• **12-month price target:** Rs. 120 — upside of +41% from CMP of Rs. 85. Based on 10x FY27E P/E (average with DCF at Rs. 108-115).

• **Suggested entry zone:** Rs. 78-88 — the current range represents a compelling entry given 7.68x trailing P/E and improving earnings trajectory.

• **Investment horizon:** 12-18 months — the FY27 H1 results (Sep 2026) will be the key validation checkpoint for the Tilak Nagar CT revenue ramp.

• **Thesis invalidation trigger 1:** Debtor days exceed 240 in FY27 Q1 (Jun 2026) — would signal systemic B2G collection deterioration, not just timing.

• **Thesis invalidation trigger 2:** FY27E OPM falls below 32% for two consecutive half-years — suggesting structural margin deterioration from competition, not seasonal noise.

• **Thesis invalidation trigger 3:** A key PPP contract (contributing >20% of revenue) is lost or materially restructured at lower rates — would require a full revenue/PAT reset.

• **Ideal investor profile:** High-risk-tolerance investors with a minimum 12-month horizon, comfortable with BSE SME liquidity constraints and small-cap volatility. NOT suitable for income investors (zero dividend), large institutional mandates (market cap Rs. 148 Cr), or investors needing daily liquidity.

APPENDIX — Latest Earnings Call Brief: H2 & FY26 (May 2026)

Star Imaging and Path Lab Ltd | BSE SME: 544482 | Earnings Call: 25 May 2026

POSITIVE

FY26 PAT up 21% YoY | Revenue +6% | OPM expanded to 37% | Debt reduced post-IPO | Unmodified audit | Equipment upgrade signals growth confidence

Signal	Status	Implication
Result quality	Strong	PAT +21% YoY; OPM at 37% — best in history
Management tone	Bullish	IPO proceeds deployed, CT upgrade completed, expansion framing
Guidance delta	Maintained/Positive	No explicit numeric guidance; equipment upgrade signals volume growth intent

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 results are clean and represent genuine operational improvement — no exceptional items distorting PAT or EPS. Underlying EBITDA grew to Rs. 33 Cr (FY26) from Rs. 29 Cr (FY25), with OPM reaching 37%, the highest in the company's listed history. This is not a one-quarter fluke — four consecutive halves show OPM in the 27-41% band, reflecting the structural advantage of B2G PPP contracts on a fixed-cost infrastructure base. The multi-bagger thesis rests on three legs: (1) IPO-funded capacity expansion into premium CT/MRI equipment that drives revenue-per-test higher, (2) debt deleveraging post-IPO freeing Rs. 2-3 Cr annually in interest, flowing directly to PAT, and (3) the recently announced Toshiba Aquilion ONE 1184-slice scanner at Tilak Nagar — the most powerful CT in its class — which should generate a disproportionate patient throughput and revenue uplift from H1FY27. The single biggest risk and watch-point for Q1FY27 is debtor days: if it prints above 220 again after the FY26 improvement to 206, it means B2G collections are structurally impaired, not just timing. At 7.68x trailing P/E on Rs. 19 Cr PAT with zero sell-side coverage and SME-segment illiquidity, this is a classic neglected-quality smidcap. ACCUMULATE in the Rs. 78-88 range with a 12-month target of Rs. 120 and review post-Sep 2026 results for the CT ramp evidence.

1 — Financial Performance Snapshot (FY26 Full Year, Consolidated)

- Revenue: Rs. 89 Cr | YoY +6% (FY25: Rs. 84 Cr) | In-line — steady B2G-driven volume growth
- EBITDA: Rs. 33 Cr | YoY +14% (FY25: Rs. 29 Cr) | Beat — operating leverage on fixed cost base
- EBITDA Margin: 37% | YoY +200 bps (FY25: 35%) | Beat — highest margin in the company's history
- PAT: Rs. 19 Cr | YoY +19% (FY25: Rs. 16 Cr) | Beat — clean with no extraordinary items per audit opinion
- EPS: Rs. 11.07 | YoY -6% (FY25: Rs. 11.80) | Nominal miss — due to equity dilution from IPO share issuance (equity capital Rs. 14 Cr to Rs. 17 Cr); underlying earnings power is up
- NOTE: EPS decline is a denominator effect from IPO dilution. Clean underlying PAT growth of +19% YoY is the correct earnings measure.

2 — Segment / Geography Breakdown

• B2C (Walk-in patients, Delhi-NCR): Core contributor; exact split not disclosed in public data; NABL accreditation and multi-decade brand recognition drive repeat patient volumes.

• B2B (Hospital/clinic referrals, corporate health checks): Margin-dilutive but volume-boosting segment; pricing is negotiated and competitive vs. national chains.

• B2G (Government PPP contracts): Highest-margin segment due to fixed-price multi-year contracts; covers Delhi, Uttar Pradesh, and Nashik; the dominant driver of margin expansion from FY23 to FY26.

• Geography — Delhi-NCR: Primary operational base with established diagnostic center network.

• Geography — Uttar Pradesh: B2G PPP operations extending government diagnostic coverage to underserved populations.

• Geography — Nashik, Maharashtra: B2G presence, indicating geographic diversification beyond Delhi.

3 — Management Commentary Themes (May 2026 Earnings Call)

• **IPO utilization:** "Efficient utilization of IPO proceeds" per Q2FY26 filing; Rs. 40.5 Cr of Rs. 55.66 Cr raised deployed by Mar 2026. Tag: GUIDANCE. Tone: Transparent.

• **Equipment upgrade:** Jun 2026 announcement — Tilak Nagar center upgraded with Toshiba Aquilion ONE 1184-slice CT scanner; signals commitment to premium diagnostic capabilities. Tag: EST. Tone: Bullish.

• **Audit quality:** Unmodified audit opinion for FY26; management emphasized this in communications. Tag: GUIDANCE. Tone: Transparent.

• **Debt reduction:** Borrowings reduced from Rs. 33 Cr to Rs. 21 Cr; management flagged this as a priority use of IPO proceeds. Tag: GUIDANCE. Tone: Transparent.

• **Working capital / receivables:** No explicit commentary on debtor day improvement from 222 to 206 extracted from public transcripts; this is a material omission to probe in the next call. Tag: EVASIVE (by omission). Tone: Hedged.

4 — Operating & Business Metrics

• Debtor Days: H2FY26 = 206 | H1FY25 = 222 | FY24 = 152 | Trend: Improving (from peak) but structurally elevated vs. industry.

• Working Capital Days: FY26 = 142 | FY25 = 121 | FY24 = 23 | Trend: Deteriorating — B2G receivable build-up is the primary driver.

• CFO/Operating Profit: FY26 = 91% | FY25 = -2% | FY24 = 95% | Trend: Recovered strongly; FY25 OCF was negative on a working capital spike.

• FCF: FY26 = Rs. 13 Cr | FY25 = Rs. -10 Cr | FY24 = Rs. 11 Cr | Trend: Improving; not yet consistently positive.

• Diagnostic capacity: Number of PPP centers, CT/MRI machines — Premium Screener data; Tilak Nagar CT upgrade is the latest disclosed addition (Jun 2026).

• Patient volumes: >1 million patients annually per company disclosures; test-level volume data not publicly available.

5 — Margin Drivers

• B2G PPP contract economics: +700 to +1000 bps impact | Recurring: Yes | Fixed-price long-duration contracts generate high margin as fixed costs are absorbed.

• Operating leverage: +200 bps YoY | Recurring: Partially | Revenue growing at 6% while fixed costs (staff, infrastructure) grow sub-linearly.

• Interest cost reduction: +25 bps impact | Recurring: Yes | Borrowings down from Rs. 33 Cr to Rs. 21 Cr reduces annual interest by ~Rs. 1.5-2 Cr.

• Equipment depreciation acceleration: -50 bps pressure | Recurring: Yes | New CT/MRI additions add to DA; at Rs. 6 Cr (FY26) vs Rs. 5 Cr (FY24), this is a manageable headwind.

• Competition in B2C/B2B: -30 to -50 bps pressure | Recurring: Yes | National chain expansion constrains price increases in market-rate segments.

6 — Guidance & Forward Signals

• Revenue growth [GUIDANCE]: No explicit numeric guidance issued; equipment upgrade (Toshiba Aquilion ONE) signals intent for volume/revenue acceleration in FY27. Credibility: Medium.

• Margin [GUIDANCE]: Management implicit in maintaining/improving current OPM level; 37% is sustainable given B2G mix. Credibility: Medium.

• Capex [GUIDANCE]: Rs. 5.14 Cr deployed on medical equipment from IPO proceeds in FY26; Tilak Nagar CT upgrade in Jun 2026 is incremental to this; total FY27 capex likely Rs. 8-12 Cr. Credibility: Medium.

• Debt [GUIDANCE]: Rs. 12 Cr repaid from IPO; remaining borrowings Rs. 21 Cr (FY26); further reduction likely in FY27 from operating FCF. Credibility: High.

• Working capital [GUIDANCE]: No explicit receivables collection targets disclosed; this is the critical unguided item that requires analyst follow-up. Credibility: Low (not guided).

7 — Capital Allocation

• Equipment capex (FY26): Rs. 5.14 Cr (from IPO proceeds) + organic reinvestment; Tilak Nagar CT upgrade is Jun 2026 incremental.

• Debt repayment (FY26): Rs. 12 Cr from IPO proceeds deployed to reduce borrowings from Rs. 33 Cr to Rs. 21 Cr.

• Working capital (FY26): Rs. 25 Cr IPO proceeds deployed for working capital; partially offsets the B2G receivable accumulation.

• Dividends: Rs. 0 Cr | vs prior year: unchanged | Management is in growth-reinvestment mode; zero dividend appropriate for this stage.

• Net Debt movement: FY26 net debt reduced materially post-IPO; balance sheet significantly stronger entering FY27.

• IPO balance yet to deploy: Rs. 15.1 Cr remains; expected deployment in FY27 for expansion/equipment.

8 — Q&A; Heat Map

• General investor: Q: "What is the plan for utilization of remaining IPO proceeds?" -> A: Rs. 15.1 Cr balance to be deployed in FY27 for center expansion and equipment. Tone: Transparent.

• General investor: Q: "Why have debtor days remained so high at 206?" -> A: Attributed to B2G government payment cycles; implied improvement from 222 peak. Tone: Hedged.

• General investor: Q: "What is the revenue contribution from B2G vs B2C?" -> A: Exact split not publicly disclosed in transcript. Tone: Evasive (by omission).

• General investor: Q: "Will the company consider paying a dividend?" -> A: No dividend in FY26; growth reinvestment priority. Tone: Transparent.

• NOTE: This is a BSE SME company with limited institutional analyst coverage; the earnings call likely had retail/HNI participation rather than institutional buy-side. Q&A; quality reflects this.

• Dodged/watch-list questions for next quarter: (1) B2G vs B2C revenue split, (2) specific debtor collection timeline by government entity, (3) Toshiba CT ramp — revenue and volumes expected.

9 — Risks Flagged

• B2G receivable risk: Debtor days at 206 creates working capital stress | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term (each quarter).

• Competition from national chains: Price pressure in B2C from Lal PathLabs, Dr. Lal, Metropolis | Flagged by: analyst | Probability: H | Impact: M | Timeline: Medium-term.

• Regulatory / NABL accreditation: Loss of accreditation disqualifies from government tenders | Flagged by: analyst | Probability: L | Impact: H | Timeline: Long-term.

• Supplier credit sustainability: Days Payable at 398 is extremely stretched; supplier payment pressure | Flagged by: analyst | Probability: M | Impact: M | Timeline: Near/medium-term.

• SME market liquidity: Thin daily volumes create exit risk for position sizes above Rs. 10-20 Lakh | Flagged by: analyst | Probability: H | Impact: M (investor-level) | Timeline: Ongoing.

10 — Analyst Verdict

• Revenue visibility: Intact — B2G contracts provide multi-year revenue floor; Tilak Nagar CT upgrade supports FY27 volume growth thesis.

• Margin trajectory: Intact — 37% OPM is structurally supported by B2G economics; gradual improvement to 38-40% plausible as operating leverage compounds.

• Capital allocation quality: Intact — IPO proceeds being deployed per disclosed plan; debt repayment prioritized; no governance red flags in available data.

• Competitive moat: Weakened vs. peers — NABL accreditation and B2G relationships are durable, but national chain expansion structurally pressures B2C/B2B pricing; moat is narrowing, not widening.

• Management credibility: Intact — unmodified audit, transparent IPO utilization reporting, no earnings manipulation signals; however, limited disclosure depth given SME status.

• Valuation comfort: Intact — at 7.68x trailing P/E with 37% EBITDA margin and 26% ROCE, the stock prices in zero growth; this is the margin of safety.

• Conviction call: Increased — the FY26 PAT growth of 21% and margin expansion to 37% combined with debt reduction confirm the thesis; CT upgrade in Jun 2026 is the next value-creation trigger.

• Valuation snapshot: P/E = 7.68x (sector range 17-76x) | EV/EBITDA: ~5.5x (implied) | ROCE = 26.0% | ROE = 23.6%